BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - IV

World Trade Organization

Syllabus Topics Covered

- WTO: nature, significance, functions and advantages
- Organisation and structure of WTO
- Role and functions of WTO in promoting world trade
- GATT; agreements in the Uruguay Round - TRIPS, TRIMS
- Dispute Settlement Mechanism
- Dumping and anti-dumping measures

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

Contents

Topic	Section no.
Introduction, GATT, organisation	1-3
Functions, principles, advantages	4-5
Uruguay Round, TRIPS, TRIMS	6-8
Dispute Settlement Mechanism	9
Dumping and anti-dumping	10
Recent developments; questions	11-12

1. Introduction to the WTO

1.1 Meaning

The World Trade Organization (WTO) is the international organisation that deals with the rules of trade between nations. It provides a forum for trade negotiations, a system to settle trade disputes and a set of agreements that are signed by member countries.

Key facts

Established on 1 January 1995 as the successor of GATT (1947) | Headquarters: Geneva, Switzerland | Members: 166 (Comoros and Timor-Leste joined in 2024) | Director-General: Dr Ngozi Okonjo-Iweala (Nigeria; second term from September 2025) | Decisions by consensus

[Simple words] WTO is a global rule book plus a court plus a negotiating hall for international trade.

1.2 Background - why WTO was formed

- After World War II, countries planned three institutions: IMF, World Bank and International Trade Organization (ITO)
- ITO (Havana Charter, 1948) failed because the US Congress did not approve it
- So only the General Agreement on Tariffs and Trade (GATT) survived, as a temporary agreement signed by 23 countries in 1947
- GATT lacked legal status, covered only goods, and had a weak dispute system
- The Uruguay Round (1986-94) created the WTO through the Marrakesh Agreement (15 April 1994)

1.3 Nature of WTO

» Permanent international body with legal personality (unlike GATT)
» Rule based system: binding agreements for members
» Covers goods, services and intellectual property (GATT covered only goods)
» Member driven and consensus based, each member has one vote
» Single undertaking: the Uruguay Round results are accepted as one package
» Non-discriminatory and aims at progressive liberalisation
» Forum for negotiation and dispute settlement
» Works with IMF and World Bank for global economic policy coherence

1.4 Significance

- Sets a stable and predictable framework for world trade (bound tariff rates)
- Reduces trade barriers and increases world trade and income
- Protects the interests of developing countries through special and differential treatment (S and D)
- Settles disputes peacefully through rules, not power
- Promotes transparency through trade policy reviews
- Covers about 98 percent of world trade

2. GATT - General Agreement on Tariffs and Trade

2.1 Objectives of GATT

- Reduce tariffs and other barriers to trade
- End discrimination in international trade
- Raise standard of living , full employment and use of world resources

2.2 Rounds of GATT negotiations

Round	Year	Main result
Geneva	1947	23 countries; 45,000 tariff concessions
Annecy	1949	Tariff cuts, new members
Torquay	1951	More tariff concessions
Geneva	1956	Tariff reduction
Dillon	1960-61	Tariff cuts (EEC common tariff)
Kennedy	1964-67	Across the board tariff cut about 35%; first anti-dumping code
Tokyo	1973-79	Non-tariff barriers, subsidy codes
Uruguay	1986-94	Created the WTO; included services, TRIPS, agriculture

2.3 GATT vs WTO

Basis	GATT	WTO
Nature	Temporary agreement	Permanent organisation
Legal status	None	Legal personality
Coverage	Only goods	Goods, services, IPR, investment measures
Membership	"Contracting parties"	"Members"
Dispute system	Slow, weak (blocking possible)	Strong, time bound, binding
Decision	Consensus	Consensus (voting possible but rare)
Agreements	Some optional codes	Single undertaking, mostly binding

2.4 Doha Development Round (2001)

Launched in **Doha, Qatar (2001)** with a focus on developing countries; stuck on **agriculture subsidies, market access (NAMA) and Singapore issues**; talks have been stalled for many years. Some parts survived - **Trade Facilitation Agreement (Bali 2013, in force 2017)**.

3. Organisation and Structure of the WTO

3.1 Structure (top to bottom)

Ministerial Conference → **General Council** → **Councils (Goods, Services, TRIPS)** → **Committees and working groups** → **Secretariat**

- **Ministerial Conference:** the **highest decision making body**; meets at least **once in two years**; all members' trade ministers attend. Examples: Singapore (1996), Seattle (1999), Doha (2001), Cancun (2003), Hong Kong (2005), Bali (2013), Nairobi (2015), Buenos Aires (2017), Geneva (2022, MC12), Abu Dhabi (2024, MC13), **Yaounde, Cameroon (26-29 March 2026, MC14)**.
- **General Council:** day to day management; acts as the **Dispute Settlement Body (DSB)** and **Trade Policy Review Body (TPRB)** also.
- **Three subsidiary Councils:** Council for Trade in Goods, Council for Trade in Services (GATS), Council for TRIPS.
- **Committees:** on agriculture, SPS, TBT, subsidies, anti-dumping, trade and environment, trade and development, balance of payments, etc.
- **Secretariat:** headed by the **Director-General**, located in Geneva, about 600 staff; gives technical support and does not take decisions for members.

3.2 Organisation chart (concept)

Levels of the WTO

Top: Ministerial Conference (all members, every 2 years)

Middle: General Council = DSB (disputes) + TPRB (policy reviews)

Lower: Goods Council | Services Council | TRIPS Council | Committees

Support: Secretariat - Director-General - Deputy Director-Generals

3.3 Other points

- **Decision making:** by consensus; where not possible by majority vote (one member one vote) - almost never used
- **Budget:** contributed by members in proportion to their share in world trade
- **Accession:** a country applies, a working party negotiates, and the Ministerial Conference approves by two-thirds majority
- **India** is a founding member of GATT (1947) and WTO (1995) and a strong voice of the **Global South**

4. Functions of WTO - Role in Promoting World Trade

4.1 Functions

» **Administering trade agreements:** implements and monitors all WTO agreements

» **Forum for trade negotiations:** gives a platform for rounds like Uruguay and Doha

» **Handling trade disputes:** through the Dispute Settlement Understanding (DSU)

» **Monitoring national trade policies:** Trade Policy Review Mechanism (TPRM) - regular review of members' policies

» **Technical assistance and training** for developing and least developed countries (LDCs)

» **Cooperation with IMF and World Bank** for coherence in global economic policy

4.2 Fundamental principles of the WTO trading system

Principle	Meaning
Most Favoured Nation (MFN)	A concession given to one member must be given to all members (no discrimination between partners)
National Treatment	Imported goods must be treated like domestic goods once they enter the market
Reciprocity	Tariff cuts are exchanged on a mutual basis
Binding and enforceable commitments	Tariff rates are bound; cannot be raised freely
Transparency	Rules and policies must be published and notified
Safety valves	Anti-dumping, safeguards, balance of payments exceptions
Special and Differential Treatment	Extra time and flexibility for developing countries and LDCs
Free and fair competition	Against dumping and unfair subsidies



4.3 How WTO promotes world trade

- Cuts **tariffs and non-tariff barriers** step by step through rounds
- Gives **security to traders** (binding rates), so they can plan investments
- Makes trade **fair and predictable** through MFN and national treatment
- Opens **services and IPR markets** (GATS, TRIPS)
- Helps **developing countries** with S and D treatment and Aid for Trade
- Entry of China (2001) and Russia (2012) widened the system
- **Trade Facilitation Agreement (2017):** simplifies customs, cuts trade cost by about 14 percent

5. Advantages (and Criticisms) of WTO

5.1 Advantages

» **Higher trade and income:** world trade has grown manyfold since 1995

» **Rule based, not power based:** small countries can challenge big powers (India won cases against the US and EU)

» **Lower cost of living:** lower tariffs make goods cheaper and give variety

» **Encourages growth and jobs** through export opportunities

» **Reduces trade friction** because disputes are settled peacefully

» **Gives voice to developing countries** (G-33, G-20 groups in agriculture)

» **Stimulates good governance** - transparency and fewer licences

» **Supports small business** with simpler customs and e-commerce rules

5.2 Criticisms and limitations

- **Developed countries dominate** negotiations (Green room meetings)
- **Agriculture subsidies** of rich countries remain high; unfair to farmers of poor countries
- **TRIPS** raises medicine prices and benefits patent holders
- **Environment and labour** issues receive little attention
- **Dispute settlement crisis:** Appellate Body is non-functional since December 2019
- **Slow decisions** because of consensus; **Doha Round** is stalled
- **Rise of protectionism and trade wars** (tariffs of 2018-19 and 2025) and regional deals reduce relevance

5.3 India and WTO

- India wants a **permanent solution on public stockholding for food security** (MSP-based buying) and protection of livelihood of farmers
- India opposes new issues like **investment facilitation (IFD)** being brought into the WTO rule book without consensus
- India supports **restoring the Appellate Body** and **S and D treatment**

6. Uruguay Round Agreements

The Uruguay Round (1986-94) produced the **Final Act signed at Marrakesh on 15 April 1994**, creating the WTO from 1 January 1995. The results are a **"single package"** of agreements.

6.1 Structure of the agreements

Marrakesh Agreement → Annex 1A Goods → Annex 1B GATS → Annex 1C TRIPS → Annex 2 DSU → Annex 3 TPRM

6.2 Main agreements

Agreement	Key content
Agreement on Agriculture (AoA)	Market access, domestic support (AMS), export subsidy reduction; boxes: Green, Amber, Blue
Agreement on Textiles and Clothing (ATC)	Phased out Multi Fibre Arrangement (MFA) by 2005
SPS Agreement	Sanitary and phytosanitary measures: food safety, animal and plant health
TBT Agreement	Technical barriers: standards, labelling must not be discriminatory
TRIMS	Investment measures related to trade (local content etc.)
GATS	General Agreement on Trade in Services - four modes of supply
TRIPS	Trade Related aspects of Intellectual Property Rights
Anti-dumping Agreement (Article VI)	Rules for imposing anti-dumping duties
SCM Agreement	Subsidies and Countervailing Measures
Safeguards Agreement	Temporary import curbs for serious injury
Customs Valuation, Rules of Origin, Import Licensing, Pre-shipment inspection	Procedural simplicity

6.3 Agriculture agreement - the three pillars

- **Market access:** convert non-tariff barriers into **tariffs (tariffication)** and reduce them
- **Domestic support:** reduce trade distorting support measured as **AMS** (Aggregate Measurement of Support); **de minimis** 5% for developed and 10% for developing countries
- **Export competition:** reduce export subsidies (eliminated in 2015, Nairobi decision)

6.4 GATS - four modes of supply

Mode	Meaning	Example
Mode 1 Cross border	Service crosses border	Call centre, software export
Mode 2 Consumption abroad	Consumer moves	Tourism, medical travel
Mode 3 Commercial presence	Firm sets up abroad	Foreign bank branch
Mode 4 Movement of persons	Individuals move temporarily	IT professionals, nurses

- India's interest is highest in **Mode 1 and Mode 4** (IT professionals)

7. TRIPS Agreement

7.1 Meaning

TRIPS = **Trade-Related aspects of Intellectual Property Rights** . It sets **minimum standards of protection** of intellectual property for all WTO members and is binding on all (in force from 1995; a transition period for developing countries till 2000 and for LDCs longer).

7.2 Types of intellectual property covered

- **Copyright and related rights** - 50 years after death of author (at least)
- **Trademarks** and service marks - at least 7 years renewable
- **Geographical Indications (GI)** - e.g. Basmati, Darjeeling tea, Tirupati Laddu, Kondapalli toys
- **Industrial designs** - at least 10 years
- **Patents** - **20 years** protection for product and process
- **Layout designs** of integrated circuits
- **Protection of undisclosed information** (trade secrets)

7.3 Basic principles

- **National treatment** and **MFN** for IP holders
- **Minimum standards** - members can give more protection
- **Enforcement** through courts, customs and penalties
- **Dispute settlement** under the DSU applies

7.4 Flexibilities in TRIPS (important for India)

- **Compulsory licensing:** government allows others to produce a patented product without owner's permission (public health, emergencies)
- **Parallel imports** (grey market imports)
- **Doha Declaration on TRIPS and Public Health (2001)** : TRIPS must not stop members from protecting public health
- **Bolar exception** (generic testing before patent expiry)

7.5 Impact on India

Positive	Negative
Protection of Indian GIs (Basmati)	Higher cost of drugs for patients
Encourages R and D, innovation, pharma growth	Product patents ended reverse engineering
Stronger global credibility	Risk of bio-piracy (neem, turmeric cases)

India's response

India amended its **Patents Act in 1999, 2002, 2005** (product patents introduced from 2005); **Section 3(d)** prevents "evergreening" of patents (Novartis Glivec case, 2013). Other laws: Copyright Act 1957, Trade Marks Act 1999, GI Act 1999, Protection of Plant Varieties Act 2001.

8. TRIMS Agreement

8.1 Meaning

TRIMS = **Trade-Related Investment Measures**. These are the **conditions that a host government puts on foreign investors** which affect trade, for example "buy 50 percent of inputs locally". TRIMS prohibits measures which violate **national treatment (GATT Article III)** and **quantitative restrictions (Article XI)**.

8.2 Prohibited measures (Illustrative List)

- **Local content requirement:** use of a minimum share of domestic inputs
- **Trade balancing requirement:** imports limited to the value of exports
- **Foreign exchange restriction** linked to export earnings
- **Export restriction / domestic sales requirement**

8.3 Key features

- **Transition period:** 2 years for developed, 5 years for developing, 7 years for LDCs
- Members must **notify** all TRIMs that violate the agreement
- **Council for Trade in Goods** monitors; disputes under DSU
- Does **not** cover FDI as a whole; it is only about trade related investment measures

8.4 Impact on India

- India removed **local content and dividend balancing** conditions in autos, and phased out export obligation measures
- The **US challenged** India's local content rules in solar mission (India lost in 2016) - shows how TRIMS limits industrial policy
- India's PLI schemes are designed as **incentives** rather than mandatory local content

8.5 TRIPS versus TRIMS

Basis	TRIPS	TRIMS
Subject	Intellectual property	Investment measures affecting trade
Aim	Minimum IP protection	Remove trade distorting conditions on investors
Benefit to	Patent, trademark holders	Foreign investors
Concern for India	Drug prices, evergreening	Loss of local content policy tool

9. Dispute Settlement Mechanism (DSM)

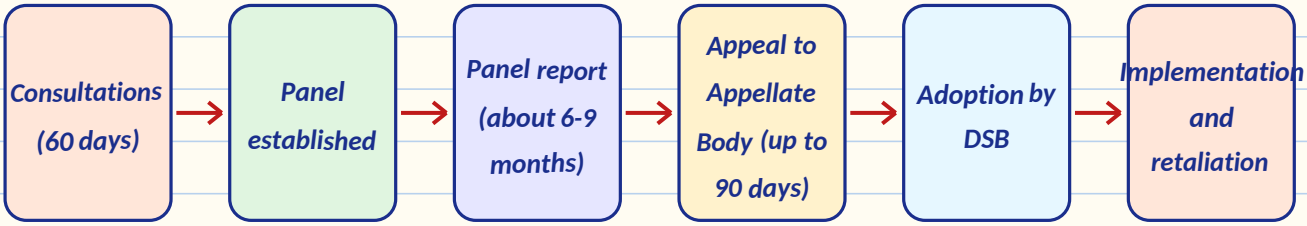
9.1 Meaning

The WTO **Dispute Settlement Understanding (DSU)** is the rule system to **settle trade disputes** between members - when one member thinks another has broken WTO rules. It is called the **"crown jewel"** of the WTO. The **Dispute Settlement Body (DSB)** (the General Council in another form) manages the process.

Principle

Members must not take unilateral action. They must follow multilateral rules and settle disputes **through the WTO**.

9.2 Stages in the dispute settlement process



- **1. Consultations:** the complaining member requests talks with the other; **60 days** to settle bilaterally
- **2. Good offices, mediation, conciliation:** voluntary, may be used at any time
- **3. Panel stage:** if talks fail, the complainant requests a **panel** (three experts); the DSB sets it up automatically (**negative consensus** - it is established unless all members oppose)
- **4. Panel report:** sent to parties first (interim), then to all members; adopted within **60 days** unless appealed
- **5. Appeal:** only on **points of law**, to the **Appellate Body** (7 members, 3 sit on a case) - 60 to 90 days
- **6. Adoption:** by DSB automatically (again negative consensus)
- **7. Implementation:** the loser must comply within a **reasonable period of time**

» **8. Compensation and retaliation:** if not implemented, the winner may get **compensation** or **suspend concessions (retaliation)** after DSB authorisation

9.3 Features of the system

- **Time bound** procedure (about 12-15 months to complete a case with appeal)
- **Automatic** steps: no member can block panel or adoption (negative consensus)
- **Binding** decisions; **retaliation** for non-compliance
- **Applies to all agreements** (goods, services, TRIPS)
- **Special rules for developing countries** (more time, technical help, Advisory Centre on WTO Law)

9.4 Notable cases involving India

Case	Outcome
US - Shrimp / Turtle (1998), India as complainant	Environment vs trade; important precedent
EC - Bed Linen (anti-dumping)	India won
US - Solar cells (India - Solar mission, 2016)	India lost: local content violated national treatment
US - Steel and aluminium tariffs (2018 onwards)	India filed disputes; retaliatory duties notified
India - Sugar subsidies (2019-22)	Panel went against India; appealed into the void

9.5 Crisis of the Appellate Body

- Since **December 2019** the Appellate Body is **non-functional** : the **US blocks appointment of new judges** , citing judicial overreach, so the body has fewer than three members
- This created **"appeal into the void"** : losing party appeals to a body that cannot hear, so the panel report is never adopted
- Workaround: **MPIA** (Multi-Party Interim Appeal Arbitration Arrangement) joined by about **58 members covering roughly 60 percent of world trade** - India and the US have **not** joined
- At **MC14 (Yaounde, March 2026)** members only agreed to continue consultations on dispute settlement reform; no restoration

Exam note

Mention both the strengths (rule based, automatic, binding) and the present crisis (no appeals) in a 10-mark answer.

10. Dumping and Anti-Dumping Measures

10.1 Meaning of dumping

Dumping means exporting a product to another country at a **price lower than its normal value** - lower than the price in the exporter's home market, or than its cost of production.

Definition

Dumping occurs when the export price of a product is less than the comparable price charged in the ordinary course of trade for the like product in the exporting country (WTO Anti-dumping Agreement, Article VI of GATT).

10.2 Types of dumping

Type	Meaning
Sporadic	Occasional sale of surplus stock at a low price abroad
Predatory	Selling cheap to drive out rivals, then raising prices
Persistent	Continuous sale at lower price abroad to use capacity (price discrimination)
Reverse	Selling cheaper in the home market than abroad
Technical / Market share	Aim to capture a foreign market

10.3 Causes and motives

- **Surplus production** and overcapacity (steel, solar panels, chemicals)
- To **capture foreign market** and eliminate competitors
- **Government subsidies** that lower exporters' costs
- **Economies of scale** and price discrimination

10.4 Effects of dumping

On importing country	On exporting country
Injury to domestic industry, job losses	Gains foreign market share
Low prices help consumers for a while	Home consumers pay higher price
Risk of monopoly after rivals leave	May invite retaliation

10.5 Anti-dumping measures

Anti-dumping duty is an extra **import duty** imposed on dumped goods so that the price becomes **fair**. It is allowed by WTO **only if** three things are proved:

- **Dumping** exists (the **dumping margin** = normal value minus export price)
- **Material injury** (or threat) to the domestic industry
- **Causal link** between the dumped imports and the injury

10.6 Procedure

Complaint by domestic industry → **Investigation** → **Preliminary finding** → **Final finding** → **Duty imposed** → **Review after 5 years**

- Investigation normally within **12 months** (maximum 18 months)
- Duty lasts **5 years** (sunset review); duty should not exceed the **dumping margin** (lesser duty rule is encouraged)
- **De minimis:** dumping margin under 2% or import volume under 3% - investigation terminated

10.7 Anti-dumping in India

- Authority: **DGTR (Directorate General of Trade Remedies)**, Ministry of Commerce, **recommends** the duty; the **Ministry of Finance (Department of Revenue)** imposes it
- Law: **Customs Tariff Act 1975** (Sections 9A and 9B) and Anti-Dumping Rules 1995
- India is among the **top users** of anti-dumping duties, mainly against **China** (steel, chemicals, solar glass, aluminium foil, etc.)

10.8 Related trade remedies

Measure	Used against	Condition
Anti-dumping duty	Dumped imports	Dumping + injury
Countervailing duty (CVD)	Subsidised imports	Subsidy + injury
Safeguard duty	Sudden surge of imports (fair trade)	Serious injury; temporary (4-8 years)

10.9 Criticism

- Can be **misused as protectionism** by countries
- Raises **input cost** of domestic users and consumers
- Complex and slow procedure for small exporters

11. Recent Developments (Exam Updates)

- **MC13 (Abu Dhabi, Feb-Mar 2024):** extended the e-commerce moratorium; no deal on agriculture
- **Fisheries Subsidies Agreement** (adopted June 2022) **entered into force in September 2025** after two thirds of members accepted - first WTO agreement on environmental sustainability
- **MC14 (Yaounde, Cameroon, 26-29 March 2026):** no Ministerial Declaration; the **e-commerce moratorium on customs duties on electronic transmissions lapsed** on 30 March 2026 for the first time since 1998; **66 members** agreed to start an interim plurilateral e-commerce agreement; India did not join
- **US tariff policies since 2025** challenge the MFN principle and raise questions on WTO relevance
- **WTO reform** debates: dispute settlement, decision making, development status, plurilateral agreements
- **Investment Facilitation for Development (IFD) Agreement:** plurilateral, supported by 120+ members; India opposed its entry into the WTO rule book

12. Important Questions and Quick Revision

Short answer (5 marks)

- Define WTO. Explain its nature and significance.
- Distinguish between GATT and WTO.
- Explain the functions and principles of WTO.
- Write a short note on TRIPS / TRIMS.
- What is dumping? Explain types of dumping.

Long answer (10 marks)

- Explain the organisation and structure of WTO.
- Discuss the role of WTO in promoting world trade. How far has it benefited India?
- Explain the agreements of the Uruguay Round.
- Explain the Dispute Settlement Mechanism of WTO and its present crisis.
- What are anti-dumping measures? Explain the procedure and India's practice.

Quick revision sheet

Topic	Remember
WTO	1 Jan 1995, Geneva, 166 members, DG Ngozi Okonjo-Iweala
Highest body	Ministerial Conference (every 2 years); MC14 Yaounde March 2026
Principles	MFN, National treatment, Reciprocity, Transparency
Uruguay Round	1986-94, Marrakesh 15 April 1994
TRIPS	Patent 20 years; GI; compulsory licence; Doha Declaration 2001
TRIMS	Bans local content and trade balancing conditions
DSM	Consultation 60 days > Panel > Appeal > DSB > Retaliation
Dumping	Export price below normal value; DGTR in India